

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

IMPACT PRODUCTS, LLC AND SAFETY ZONE, LLC,
Complainants

v.

COSCO SHIPPING LINES CO., LTD., *Respondent*.

DOCKET NO. 24-09

Served: October 16, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER GRANTING MOTION FOR LEAVE TO FILE SECOND AMENDED COMPLAINT

On September 27, 2024, Complainant filed a motion for leave to file a second amended complaint and to extend the discovery schedule. According to the proposed verified second amended complaint lodged with the motion, Impact Products, LLC and Safety Zone, LLC filed for Chapter 11 bankruptcy on May 21, 2024 in the United States Bankruptcy Court for the District of Delaware, Case No. 24-bk-11055. As part of this proceeding, Impact Products and Safety Zone sold their assets, including the claims asserted against Respondent in this case, to TZ SSE Buyer, LLC. The bankruptcy court approved the sale on July 10, 2024. Proposed 2d Am. Compl, ¶ 2.

The Commission's rules permit amendment at the discretion of the presiding officer. 46 C.F.R. § 502.66(a). While the rules do not state explicit criteria to guide the appropriate exercise of that discretion, 46 C.F.R. § 502.12 provides that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." The Commission routinely cites federal court cases applying FRCP 15 (Amended and Supplemental Pleadings) in deciding whether to permit amendment of a Shipping Act complaint. *See, e.g. Marine Transport Logistics, Inc. v. CMA CGM (America), LLC*, FMC Docket No. 22-23, 2022 WL 17592359, at *2 (ALJ Dec. 8, 2022); *Seafair USA LLC v. Sterling Container Line Ltd.*, FMC Docket No. 22-34, 2023 WL 4418617, at *1 (ALJ July 6, 2023). Under FRCP 15(a)(1)(B), "a party may amend its pleading once as a matter of course" within 21 days after service of a responsive pleading. After that period, an amended pleading is permitted with opposing party's written consent or leave of court, which should be freely given when justice so requires. FRCP 15(a)(2). "Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted). In this case, allowing the party whose purchase of the original complainants' assets has now been approved by the bankruptcy court to substitute itself as complainant is in the interest of the justice.

Respondent raises several arguments against allowing amendment. The first is a suggestion, without citation to any Commission case or policy statement, that assignment of Shipping Act claims results in those claims being “commoditize[d].” Response to Mot. to Am. the Compl., p. 2. Given the Commission’s express allowance of assignment in cases where, for instance, the complainant is not the direct purchaser of the services at issue, there does not seem to be support for this argument. See *In re Vehicle Carrier Services*, 1 FMC 2d 440, 2019 WL 5558120, at *5 (FMC Oct. 21, 2019).

Respondent next argues that the amendment is unduly dilatory and prejudicial. The bankruptcy court approved the sale of Impact Products and Safety Zone to TZ SSE Buyer in July 2024, and the motion to amend was filed two months later. Given the numerous issues to be dealt with in the context of a bankruptcy proceeding, two months is hardly excessive. Nor does Respondent articulate exactly what the prejudice is. The substantive changes in the proposed second amended complaint are negligible. TSZ SSE Buyer proposes to add several paragraphs explaining the bankruptcy proceeding and its purchase of Impact Products, LLC and Safety Zone, LLC’s assets including the claims against Respondent in this case. See Proposed 2d Am. Compl., ¶¶ 2, 7. The remaining changes appear to be technical amendments mostly related to the purchase – the causes of action (arising under 46 U.S.C. §§ 41102(c) and 41104(a)(10)) are the same, as are the claims for relief. *Id.*, pp. 7-8.

As further examples of supposed prejudice, Respondent states it will need time to file an answer to the amended complaint, that depositions have not been noticed and may be delayed, and that “further document discovery is almost certain to be needed.” Response to Mot. to Am. the Compl., p. 4. Of course Respondent will be allowed time to answer the amended complaint, but it is not clear why additional document discovery would be necessary in light of the minimal changes. With respect to depositions, Respondent argues that employees may have left the company, cannot be located, and may not comply with a subpoena. *Id.*, p. 5. But Respondent does not name the employees it seeks to depose, identify any steps it has taken to locate them, or indicate why it believes they will refuse to cooperate with a subpoena, so these concerns are speculative.

Respondent further seeks “protective conditions” to accompany leave to amend, including submission of a plan to preserve access to evidence. Response to Mot. to Am. the Compl., p. 6. All parties have the same duty to preserve evidence and were reminded of this duty in the initial order. See Feb. 28, 2024 Initial Order, ¶ 8. In the absence of any concrete indication of potential spoliation, no additional order regarding preservation is warranted.

Upon consideration of the record, the arguments of the parties, and the findings above, it is

ORDERED that the Motion for Leave to File Amended Complaint and Extend Discovery Schedule is **GRANTED**. It is further

ORDERED that Respondent must file its Answer to the Verified Second Amended Complaint within 14 days of service by the Office of the Secretary. The Office of the Secretary is hereby requested to accept for filing and to serve the Verified Second Amended Complaint lodged with the motion. It is further

ORDERED that the parties must jointly submit a proposed revised discovery schedule by **October 31, 2024**.

ALEX
CHINTELLA

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ALEX CHINTELLA
Date: 2024.10.16
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Alex M. Chintella
Administrative Law Judge